

“With the stock trading at 14, I wondered how much downside remained, so I drew the two trendline boundaries and counted the number of alternating touches.” Three are labeled as numbers in the figure and points A and B are the remaining touches.

“Because the stock was near A, heading down, I guessed that it would break out downward on the next cross. I did research to try to prove it, and then I shorted the stock at 13.88. It was a gamble, but one I was comfortable with. I placed a stop at 14.25, just above A.”

She snapped her fingers, “Bingo! Two days later the stock plummeted to the other side of the pattern,” touching the bottom trendline at point B.

“Usually my trades aren't that easy. I lowered my stop to 15 cents above C [the nearest minor high], and waited.”

The stock bounced off the lower trendline instead of busting through as she hoped. She decided to be patient and see what the stock did next. With her stop-loss order in place at the breakeven price, she felt protected and comfortable letting the trade ride.

A partial rise formed before meeting resistance and heading back down. “I believed that when the stock reached the bottom trendline, it would break out downward this time, so I doubled my position.”

She sighed. “I was wrong.”

“It takes a big man to admit that,” I said and winked at her. The stock continued down one more day before easing higher.

“I adjusted my stop-loss order to include the additional shares, but kept it at the same price [13.75, C]. Then I waited.”

The stock reached a minor high of 13.13 before heading down again. This time the decline was strong enough to punch through support at the lower trendline.

“When the stock dropped below point B toward the end of May, I lowered my stop to 15 cents above B,” or 12.15.

She looked at the measure rule for the price target. She calculated a target of 9.88 and wondered if the stock would really reach that price. To be safe, she decided to cash out if the stock reached 10.15, or 15 cents above the